

ISA 315 (Revised)¹ – Proposed Revised Requirements Mapped to Extant Requirements

This paper sets out a comparison of extant ISA 315 (Revised)² to the proposed revisions to the Exposure Draft ISA 315 (Revised), as presented in **Agenda Item 2-F**. This paper is presented for reference only.

¹ Proposed ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement* (ED-315)

² ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment*

Extant Requirements ISA 315 (Revised)	Proposed ISA 315 (Revised) Requirements
5. The auditor shall perform risk assessment procedures to provide a basis for the identification and assessment of risks of material misstatement at the financial statement and assertion levels. Risk assessment procedures by themselves, however, do not provide sufficient appropriate audit evidence on which to base the audit opinion. (Ref: Para. A1–A5)	17. The auditor shall design and perform risk assessment procedures to obtain audit evidence that provides an appropriate basis for: (Ref: Para. A11a–A16d) (a) The identification and assessment of risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels; and (b) The design of further audit procedures in accordance with ISA 330. The auditor shall design and perform risk assessment procedures in a manner that is not biased towards obtaining audit evidence that may be corroborative or towards excluding audit evidence that may be contradictory.
6. The risk assessment procedures shall include the following: (a) Inquiries of management, of appropriate individuals within the internal audit function (if the function exists), and of others within the entity who in the auditor’s judgment may have information that is likely to assist in identifying risks of material misstatement due to fraud or error. (Ref: Para. A6–A13) (b) Analytical procedures. (Ref: Para. A14–A17) (c) Observation and inspection. (Ref: Para. A18)	18. The risk assessment procedures shall include the following: (Ref: Para. A17–A20b) (a) Inquiries of management and of other appropriate individuals within the entity. (Ref: Para. A21–A29) (b) Analytical procedures. (Ref: Para. A30–A34a) (c) Observation and inspection. (Ref: Para. A35–A36)

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<i>Other Relevant Sources of Audit Evidence</i>	
7. The auditor shall consider whether information obtained from the auditor's client acceptance or continuance process is relevant to identifying risks of material misstatement. 8. If the engagement partner has performed other engagements for the entity, the engagement partner shall consider whether information obtained is relevant to identifying risks of material misstatement.	19. In obtaining audit evidence in accordance with paragraph 17, the auditor shall consider other relevant sources of audit evidence. (Ref: Para. A37–A38) 20. <i>[Incorporated in para. 19 and new definitions]</i>
<i>Information from the Auditor's Previous Experience with the Entity and Previous Audits</i>	
9. Where the auditor intends to use information obtained from the auditor's previous experience with the entity and from audit procedures performed in previous audits, the auditor shall determine whether changes have occurred since the previous audit that may affect its relevance to the current audit. (Ref: Para. A19–A20)	21. Where the auditor intends to use information obtained from the auditor's previous experience with the entity and from audit procedures performed in previous audits, the auditor shall evaluate whether such information remains relevant and reliable as audit evidence for the current audit. (Ref: Para. A39–A40)
<i>Engagement Team Discussion</i>	
10. The engagement partner and other key engagement team members shall discuss the susceptibility of the entity's financial statements to material misstatement, and the application of the applicable financial reporting framework to the entity's facts and circumstances. The engagement partner shall determine which matters are to be communicated to engagement team members not involved in the discussion. (Ref: Para. A21–A24)	22. The engagement partner and other key engagement team members shall discuss the application of the applicable financial reporting framework and the susceptibility of the entity's financial statements to material misstatement. 22A. When there are engagement team members not involved in the engagement team discussion, the engagement partner shall determine which matters are to be communicated to those members.

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Obtaining an Understanding of the Entity and its Environment, the Applicable Financial Reporting Framework and the Entity's System of Internal Control	
11. The auditor shall obtain an understanding of the following: (a) Relevant industry, regulatory, and other external factors including the applicable financial reporting framework. (Ref: Para. A25–A30) (b) The nature of the entity, including: (i) its operations; (ii) its ownership and governance structures; (iii) the types of investments that the entity is making and plans to make, including investments in special-purpose entities; and (iv) the way that the entity is structured and how it is financed, to enable the auditor to understand the classes of transactions, account balances, and disclosures to be expected in the financial statements. (Ref: Para. A31–A35) (c) The entity's selection and application of accounting policies, including the reasons for changes thereto. The auditor shall evaluate whether the entity's accounting policies are appropriate for its business and consistent with the applicable financial reporting framework and accounting policies used in the relevant industry. (Ref: Para. A36) (d) The entity's objectives and strategies, and those related business risks that may result in risks of material misstatement. (Ref: Para. A37–A43) (e) The measurement and review of the entity's financial performance. (Ref: Para. A44–A49)	23. The auditor shall obtain an understanding of relevant aspects of: (Ref: Para. A47–A47h) (a) The entity and its environment, including how events and conditions are subject to, or affected by, the inherent risk factors; (Ref: Para. A48–A78) (b) The applicable financial reporting framework, including the entity's accounting policies and the reasons for any changes thereto; (Ref: Para. A78a–A88) and (c) The components of the entity's system of internal control. (Ref: Para. A89–A104) 24. The auditor shall evaluate whether the entity's accounting policies are appropriate and consistent with the applicable financial reporting framework.

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<i>The Entity's Internal Control</i>	
12. The auditor shall obtain an understanding of internal control relevant to the audit. Although most controls relevant to the audit are likely to relate to financial reporting, not all controls that relate to financial reporting are relevant to the audit. It is a matter of the auditor's professional judgment whether a control, individually or in combination with others, is relevant to the audit. (Ref: Para. A50–A73)	25. <i>[Understanding internal control – Incorporated in para. 23]</i>
13. When obtaining an understanding of controls that are relevant to the audit, the auditor shall evaluate the design of those controls and determine whether they have been implemented, by performing procedures in addition to inquiry of the entity's personnel. (Ref: Para. A74–A76)	42. For each control identified in the control activities component the auditor shall: (Ref: Para. A194–A200) (a) Evaluate whether the control is designed effectively to address the risk of material misstatement at the assertion level, or effectively designed to support the operation of other controls; and (b) Determine whether the control has been implemented by performing procedures in addition to inquiry of the entity's personnel.
<i>The Components of the System of Internal Control</i>	
14. The auditor shall obtain an understanding of the control environment. As part of obtaining this understanding, the auditor shall evaluate whether: (a) Management, with the oversight of those charged with governance, has created and maintained a culture of honesty and ethical behavior; and (b) The strengths in the control environment elements collectively provide an appropriate foundation for the other components of internal control, and whether those other components are not	27. <i>[Control environment – Understanding incorporated broadly in para. 23(c), and individual aspects of understanding moved to definitions]</i> 28. The auditor shall evaluate the relevant aspects of the control environment by determining whether: (Ref: Para. A105–A114a) (a) Management, with the oversight of those charged with governance, has created and maintained a culture of honesty and ethical behavior;

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undermined by deficiencies in the control environment. (Ref: Para. A77–A87)	(b) The control environment provides an appropriate foundation for the other components of the system of internal control; and (c) Control deficiencies undermine the other components of the system of internal control.
15. The auditor shall obtain an understanding of whether the entity has a process for: (a) Identifying business risks relevant to financial reporting objectives; (b) Estimating the significance of the risks; (c) Assessing the likelihood of their occurrence; and (d) Deciding about actions to address those risks. (Ref: Para. A88)	29. <i>[Entity's Risk Assessment Process – Understanding incorporated in para. 23(c), and individual aspects of understanding moved to definitions]</i>
16. If the entity has established such a process (referred to hereafter as the “entity’s risk assessment process”), the auditor shall obtain an understanding of it, and the results thereof. If the auditor identifies risks of material misstatement that management failed to identify, the auditor shall evaluate whether there was an underlying risk of a kind that the auditor expects would have been identified by the entity’s risk assessment process. If there is such a risk, the auditor shall obtain an understanding of why that process failed to identify it, and evaluate whether the process is appropriate to its circumstances or determine if there is a significant deficiency in internal control with regard to the entity’s risk assessment process.	31. If the auditor identifies risks of material misstatement that management failed to identify, the auditor shall obtain an understanding of why the entity’s risk assessment process failed to identify such risks of material misstatement.
17. If the entity has not established such a process or has an ad hoc process, the auditor shall discuss with management whether business risks relevant to financial reporting objectives have been identified and how they have been addressed. The auditor shall evaluate whether the absence of a documented risk assessment process is appropriate in the	30. The auditor shall evaluate whether the relevant aspects of the entity’s risk assessment process and the relevant aspects of the entity’s process to monitor the system of internal control are appropriate. (Ref: Para. A117–A120 and Para. A123–A128a; Para. A135a)

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circumstances, or determine whether it represents a significant deficiency in internal control. (Ref: Para. A89)	
18. The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the following areas: (Ref: Para. A90–A92 and A95–A96) (a) The classes of transactions in the entity's operations that are significant to the financial statements; (b) The procedures, within both information technology (IT) and manual systems, by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the financial statements; (c) The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions; this includes the correction of incorrect information and how information is transferred to the general ledger. The records may be in either manual or electronic form; (d) How the information system captures events and conditions, other than transactions, that are significant to the financial statements; (e) The financial reporting process used to prepare the entity's financial statements, including significant accounting estimates and disclosures; and (f) Controls surrounding journal entries, including non-standard journal entries used to record non-recurring, unusual transactions or adjustments. (Ref: Para. A93–A94) This understanding of the information system relevant to financial reporting shall include relevant aspects of that system relating to information disclosed in the financial statements that is obtained from within or outside of the general and subsidiary ledgers.	35. <i>[Understanding of information system incorporated in para. 23(c) and individual aspects of understanding moved to definitions]</i> 36. The auditor shall evaluate whether the relevant aspects of the entity's information system and communication appropriately support the preparation of the entity's financial statements in accordance with the applicable financial reporting framework. (Ref: Para. A135i–A159)

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19. The auditor shall obtain an understanding of how the entity communicates financial reporting roles and responsibilities and significant matters relating to financial reporting, including: (Ref: Para. A97–A98) (a) Communications between management and those charged with governance; and (b) External communications, such as those with regulatory authorities.	37. <i>[Understanding of communication incorporated in para. 23(c) and individual aspects of understanding moved to definitions]</i>
20. The auditor shall obtain an understanding of control activities relevant to the audit, being those the auditor judges it necessary to understand in order to assess the risks of material misstatement at the assertion level and design further audit procedures responsive to assessed risks. An audit does not require an understanding of all the control activities related to each significant class of transactions, account balance, and disclosure in the financial statements or to every assertion relevant to them. (Ref: Para. A99–A106)	38. <i>[Control Activities - Deleted (IAASB March 2019)]</i> 39. The auditor shall identify controls that address risks of material misstatement at the assertion level in the control activities component, as follows: (Ref: Para. A160–A179) (a) Controls that address risks that are identified as a significant risk; (Ref: Para. A169–A173) (b) Controls over journal entries, including non-standard journal entries used to record non-recurring, unusual transactions or adjustments; (Ref: Para. A174–A175a) (c) Controls that are necessary for the auditor to identify to achieve the objectives in paragraph 17(a) and (b) because of where the assessments of the related risks of material misstatement at the assertion level fall on the spectrum of inherent risk; (Ref: Para. A175b–A175c) and (d) Controls for which the auditor plans to test operating effectiveness in determining the nature, timing and extent of substantive testing, which shall include controls that address risks for which substantive

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	procedures alone do not provide sufficient appropriate audit evidence. (Ref: Para. A175d–A178)
21. In understanding the entity's control activities, the auditor shall obtain an understanding of how the entity has responded to risks arising from IT.	40. Based on controls identified, the auditor shall identify the IT applications and the other aspects of the entity's IT environment that are subject to risks arising from the use of IT. For such IT applications and other aspects of the IT environment, the auditor shall identify: (Ref: Para. A179a–A193) (a) The related risks arising from the use of IT; and (b) The entity's general IT controls that address such risks. 41. <i>[Incorporated in para. 40]</i>
22. The auditor shall obtain an understanding of the major activities that the entity uses to monitor internal control relevant to financial reporting, including those related to those control activities relevant to the audit, and how the entity initiates remedial actions to deficiencies in its controls. (Ref: Para. A110–A112)	32. <i>[Entity's Process to Monitor the System of Internal Control – Understanding incorporated in para. 23(c), and individual aspects of understanding moved to definitions]</i>
23. If the entity has an internal audit function, the auditor shall obtain an understanding of the nature of the internal audit function's responsibilities, its organizational status, and the activities performed, or to be performed. (Ref: Para. A113–A120)	34. <i>[Moved to definitions]</i>
24. The auditor shall obtain an understanding of the sources of the information used in the entity's monitoring activities, and the basis upon which management considers the information to be sufficiently reliable for the purpose. (Ref: Para. A121)	33. The auditor shall obtain an understanding of the sources of the information used in the entity's process to monitor the system of internal control, and the basis upon which management considers the information to be sufficiently reliable for the purpose. (Ref: Para. A129–A130)

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<i>Control Deficiencies Within the System of Internal Control</i>	
	<i>[New]</i> 43. Based on the auditor's evaluation of each of the components of the entity's system of internal control, the auditor shall determine whether one or more control deficiencies have been identified.
	44. <i>[Implications of control deficiencies – deleted]</i>
<i>Identifying and Assessing the Risks of Material Misstatement</i>	
25. The auditor shall identify and assess the risks of material misstatement at: (a) the financial statement level; and (Ref: Para. A122–A125) (b) the assertion level for classes of transactions, account balances, and disclosures, (Ref: Para. A126–A131) to provide a basis for designing and performing further audit procedures.	45. The auditor shall identify the risks of material misstatement and determine whether they exist at: (Ref: Para. A201–A202a and A206a–A206c) (a) The financial statement level; (Ref: Para. A207–A207d) or (b) The assertion level for classes of transactions, account balances, and disclosures. (Ref: Para. A202b–A206 and A208–A210)
	<i>[New]</i> 46. The auditor shall determine the relevant assertions and the significant classes of transactions, account balances and disclosures. (Ref: Para. A211–A214)
26. For this purpose, the auditor shall: (a) Identify risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances, and disclosures (including the quantitative or	

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qualitative aspects of such disclosures) in the financial statements; (Ref: Para. A132–A136)	
(b) Assess the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions;	<i>Assessing Risks of Material Misstatement at the Financial Statement Level</i> 47. The auditor shall assess the identified risks of material misstatement at the financial statement level. For each risk identified at the financial statement level, the auditor shall: (Ref: Para. A215–A220) (a) Determine whether such risks affect the assessment of risks at the assertion level; and (b) Evaluate the nature and extent of their pervasive effect on the financial statements.
(c) Relate the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test; and (Ref: Para. A137–A139) (d) Consider the likelihood of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement could result in a material misstatement. (Ref: Para. A140)	48. For identified risks of material misstatement at the assertion level, the auditor shall assess inherent risk by assessing the likelihood and magnitude of material misstatement. In doing so, the auditor shall take into account how, and the degree to which: (Ref: Para. A220a–A228) (a) Identified events and conditions relating to significant classes of transactions, account balances and disclosures are subject to, or affected by, the inherent risk factors. (b) The risks of material misstatement at the financial statement level affect the assessment of inherent risk for risks of material misstatement at the assertion level.
27. As part of the risk assessment as described in paragraph 25, the auditor shall determine whether any of the risks identified are, in the auditor's judgment, a significant risk. In exercising this judgment, the auditor shall exclude the effects of identified controls related to the risk.	49. The auditor shall determine whether any of the assessed risks of material misstatement are significant risks. (Ref: Para. A228a–A231)

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28. In exercising judgment as to which risks are significant risks, the auditor shall consider at least the following: (a) Whether the risk is a risk of fraud; (b) Whether the risk is related to recent significant economic, accounting or other developments and, therefore, requires specific attention; (c) The complexity of transactions; (d) Whether the risk involves significant transactions with related parties; (e) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty; and (f) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual. (Ref: Para. A141–A145)	<i>[Para. 28 of extant ISA 315 (Revised) incorporated in application material – see para. A229a and A229b]</i>
29. If the auditor has determined that a significant risk exists, the auditor shall obtain an understanding of the entity's controls, including control activities, relevant to that risk. (Ref: Para. A146–A148)	<i>[Incorporated in para. 39 and 42]</i>
30. In respect of some risks, the auditor may judge that it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures. Such risks may relate to the inaccurate or incomplete recording of routine and significant classes of transactions or account balances, the characteristics of which often permit highly automated processing with little or no manual intervention. In such cases, the entity's controls over such risks are relevant to the audit and the auditor shall obtain an understanding of them. (Ref: Para. A149–A151)	50. The auditor shall determine, for any of the risks of material misstatement at the assertion level, whether substantive procedures alone cannot provide sufficient appropriate audit evidence. (Ref: Para. A231a–A231f)

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	<i>[New]</i> Assessing Control Risk 51. If the auditor plans to test the operating effectiveness of controls, the auditor shall assess control risk. If the auditor does not intend to test the operating effectiveness of controls, the assessment of the risk of material misstatement is based on inherent risk. (Ref: Para. A232–A235a)
	<i>[New]</i> <i>Evaluating the Audit Evidence Obtained from the Risk Assessment Procedures</i> 51A. The auditor shall evaluate whether the audit evidence obtained from the risk assessment procedures provides an appropriate basis for the identification and assessment of the risks of material misstatement at the financial statement and assertion level, and the design of further audit procedures. In identifying and assessing the risks of material misstatement, the auditor shall take into account all audit evidence relevant to risk assessment procedures, whether corroborative or contradictory. (Ref: Para. A239a–A239b)
	<i>[New]</i> <i>Classes of Transactions, Account Balances and Disclosures that are Not Significant, but which are Material</i> 52. For material classes of transactions, account balances or disclosures that have not been identified as significant classes of transactions, account balances or disclosures, the auditor shall evaluate whether the

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	auditor's conclusion that there are no related risks of material misstatement remains appropriate. (Ref: Para. A240–A242)
<i>Revision of Risk Assessment</i>	
31. The auditor's assessment of the risks of material misstatement at the assertion level may change during the course of the audit as additional audit evidence is obtained. In circumstances where the auditor obtains audit evidence from performing further audit procedures, or if new information is obtained, either of which is inconsistent with the audit evidence on which the auditor originally based the assessment, the auditor shall revise the assessment and modify the further planned audit procedures accordingly. (Ref: Para. A152)	53. If the auditor obtains new information which is inconsistent with the audit evidence on which the auditor originally based the identification and assessments of the risks of material misstatement, the auditor shall revise the assessment. (Ref: Para. A243)
<i>Documentation</i>	
32. The auditor shall include in the audit documentation: ³ (a) The discussion among the engagement team where required by paragraph 10, and the significant decisions reached; (b) Key elements of the understanding obtained regarding each of the aspects of the entity and its environment specified in paragraph 11 and of each of the internal control components specified in paragraphs 14–24; the sources of information from which the understanding was obtained; and the risk assessment procedures performed;	54. The auditor shall include in the audit documentation: ⁴ (Ref: Para. A244–A247) (a) The discussion among the engagement team and the significant decisions reached; (b) Key elements of the auditor's understanding in accordance with paragraph 23; the sources of information from which the auditor's understanding was obtained; and the risk assessment procedures performed; (c) The controls identified in accordance with the requirements in paragraphs 39 and 40.

³ ISA 230, *Audit Documentation*, paragraphs 8–11, and A6

⁴ ISA 230, *Audit Documentation*, paragraphs 8–11, and A6–A7

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(c) The identified and assessed risks of material misstatement at the financial statement level and at the assertion level as required by paragraph 25; and (d) The risks identified, and related controls about which the auditor has obtained an understanding, as a result of the requirements in paragraphs 27 – 30. (Ref: Para. A153–A156)	(d) The identified and assessed risks of material misstatement at the financial statement level and at the assertion level, including significant risks, and the rationale for the significant judgments made